

GCC 360

Policy, Economics & Market Access Insights



ABOUT THE EXPERT CONTRIBUTOR

Dr. Frederic Schneider is an economist and advisor specialising in the post-oil economic transition of the Gulf Cooperation Council (GCC) states and a Senior Fellow at the Middle East Council on Global Affairs. He holds a PhD from the University of Zurich and has held posts at the University of California at Berkeley, Yale University, and the University of Cambridge.

His research covers Gulf economic diversification, industrial policy, trade, labour markets, the knowledge economy, climate change, and the political economy of Gulf states. His policy research has been published at global institutions, including the London School of Economics, the Arab Gulf States Institute in Washington, the Gulf International Forum, and the Washington Institute for Near East Policy. His expert commentary appears in news outlets like the New York Times, The Washington Post, DW, AFP, Al-Monitor, Orient XII, The National, and The Peninsula, and he has been an on-air expert for the BBC, Al Jazeera, CGTN, and others.

His academic articles have been published in leading journals like the Economic Journal, the Proceedings of the National Academy of Sciences, the American Economic Journal, and the Journal of the European Economic Association, and have been cited close to 1000 times.



Frederic Schneider
Senior Consultant

1. GCC MACRO & BUSINESS SNAPSHOT

	Saudi Arabia	UAE	Qatar	Kuwait	Bahrain	Oman
Equity index (m/m %)	-0.9	-0.4	-3.4	+0.6	+2.1	-3.1
PMI	53.1 (-0.2)	52.7 (+1.9)	48.5 (+0.9)	50.8 (+4.4)	N/A	N/A
Maritime trade (m/m %)	-17.4	-14.0	+38.4	+58.6	+42.6	-1.7

Notes: Figures are for the last completed month unless a different reference month is shown in parentheses. Equity: month-on-month index return; Saudi Arabia/UAE/Qatar/Kuwait = iShares MSCI ETF (USD); Bahrain = BHBX All Share Index; Oman = MSX30. PMI: S&P Global /Riyad Bank, with month-on-month change in parentheses (Saudi Arabia, UAE, Qatar, Kuwait; no series for Bahrain or Oman). Maritime trade: month-on-month change in total seaborne trade (imports + exports by tonnage) through each country's ports, from IMF PortWatch – near-real-time AIS shipping estimates (not official customs data). N/A = not available or not published for this market.

2. FEATURE ANALYSIS

Resilience over expansion: how the war is redrawing Gulf capital allocation

For over a decade, the Gulf saw diversification as expansion. The thrust was into new sectors, new visitors, and new capita: giga-projects, a tourism and events economy, and a race between Riyadh, Dubai, Abu Dhabi, and Doha to attract the world's money. The 2026 war has put a hold on much of that. Yet, Gulf capital spending has not stalled. GCC markets still recorded more than \$67bn in major project awards in July alone. What has changed is the direction of the money, and examining that direction, rather than the headline total, is the clearer guide to what the region will look like after this conflict.

The expansion strategy has taken a substantial hit. In its July update, the IMF put 2026 growth for the Middle East and North Africa at just 0.7%, down from 3.7% the year before and a further downgrade from early in the war. Qatar's 2026 forecast was revised down by close to fifteen percentage points from the pre-war path to a contraction of around 8.6% (IMF, April 2026 outlook), the steepest single-country downgrade in the report, after damage to Ras Laffan removed close to a fifth of the country's LNG export capacity. Gulf tourism, the other flagship expansion bet, has been hit hard enough that Moody's projected a near-shutdown of Dubai hotel occupancy over the second quarter.

But the retreat from the giga-project era preceded the war, as it was already being trimmed on fiscal grounds, well before the first attacks. The war has accentuated this shift and changed the direction of capital flows.

The clearest expression of the change is the rush to move oil around the Strait of Hormuz rather than through it. The February closure turned a long-discussed hedge into an urgent build-out: the UAE is doubling its Hormuz-bypass pipeline capacity from 1.8 to 3.6 million barrels per day (b/d) by mid-2027, reportedly already about half complete, while Saudi Arabia weighs two to four million b/d of further capacity on its Red Sea corridor. (Whether these bypasses can actually avoid interdiction is another question.) Defence spending has moved the same way, and now shows up in procurement orders: in late July, Saab booked a roughly \$1bn order for two GlobalEye early-warning aircraft from an undisclosed Middle East customer, building domestic air-defence and surveillance capability potentially in response to decimated U.S. capability due to Iranian strikes. At the strategic level, the same hedge appeared on 7 August in the Mecca Joint Defence Agreement, a NATO-style mutual-defence pact between Saudi Arabia, Turkey, and Pakistan that responds to diminished U.S. protection and may point future procurement toward Turkish and Pakistani suppliers.

Capital is also being raised against strategic assets rather than sunk into new ones. In late July, Kuwait Petroleum Corporation signed a \$16bn lease-and-leaseback of its crude-pipeline network with Blackstone, Brookfield, and KKR, the largest inward investment in the country's history, releasing \$7.85bn upfront while keeping majority ownership and operational control. Its state aim is to fund higher crude capacity over the coming decade, meaning this is monetisation to finance strategic capacity, not a defensive retreat. But the instrument itself, a tariff-linked infrastructure partnership signed while Iranian attacks continued, is characteristic of the current moment, as is the concurrent repositioning of sovereign wealth toward liquidity and crisis resilience. Not every deal points one way: ADNOC also took a \$6.2bn final investment decision on gas expansion in July, a reminder that while the composition of spending is changing, the level is held up. Increased investment into hydrocarbon architecture, however, does suggest that this expansion is not quite "post-oil" just yet, but rather "with oil."

For companies and investors, this reordering is the signal worth pricing. It shows which bets are financeable now: routing and bypass infrastructure, storage and buffers, energy-security assets, air defence, and the monetisation vehicles that turn strategic holdings into upfront cash. It also reprices the familiar “Gulf growth” thesis. The trade is no longer clean exposure to diversification-led expansion but exposure to a region spending to secure what it already has

DECISION RELEVANCE

The near-term opportunity set in the Gulf has tilted from growth-and-attraction toward resilience. Bypass and routing infrastructure, storage, energy-security assets, air defence, and monetisation structures of the KPC type are where capital and deal flow are concentrating, and where sovereign and private co-investment is most available. Exposure built purely on the pre-war expansion narrative, in tourism, hospitality, and giga-project supply chains, now carries visibly more risk and a longer recovery path with contingencies.

Two cautions keep the read honest: not every large deal is pure resilience (the KPC and ADNOC transactions both fund expansions, albeit in the traditional hydrocarbon sector), and not every retrenchment is the war’s doing (the giga-project slowdown predates it). But the underlying direction is clear: capital is moving to secure flows and defend balance sheets, and that is where the Gulf’s next phase is being decided.

3. GEOPOLITICAL RISK TRACKER

UNCERTAIN HORMUZ REOPENING

Iran and Oman agreed on coordinates in early August for new Strait of Hormuz shipping lanes, with vessels entering through an Iranian-controlled route and exiting through an Omani one. But Iran says the arrangement would bar U.S.- and Israeli-linked ships and fine violators up to 20% of cargo value. A transit fee remains disputed, and parliament is weighing a law barring "hostile" states' ships from Hormuz and levy a toll until Tehran is compensated for war damage, potentially creating a priced, legislated barrier and a standing compliance cost for any Gulf-linked cargo. Any reopening will therefore be partial and politically gated, so shippers should map their vessel flag and ownership exposure now and keep pricing war-risk premiums until the terms are fixed.

MARITIME TRANSIT REMAINS UNSAFE

Continued attacks on vessels near Oman in July and August confirm that the strait remains dangerous ahead of any deal. And the Houthi blockade of Saudi-associated vessels is now spreading the risk into the Red Sea, deploying missiles and drones along the approach, with tankers carrying Saudi cargo turning back. U.S. maritime authorities have issued a standing advisory covering the Red Sea, Bab el-Mandeb, Gulf of Aden, and Arabian Sea. Marine war-risk cover and rerouting costs stay elevated, and pre-deal transit schedules should be treated as provisional. Additionally, Saudi-linked shippers now face a two-sided squeeze and should price Red Sea rerouting, convoy timing, and war-risk cover into both corridors, not just the Gulf.

SAUDI AIRSPACE IMPACTED

On 4 August, a Houthi drone strike on Najran airport suspended operations there, the second disruption to southern Saudi aviation since a missile-and-drone barrage closed four airports on 13 July. The conflict now reaches Saudi aviation and logistics, in addition to shipping. Companies operating in southern Saudi Arabia should build force-majeure and rerouting contingencies into their supply lines and expect intermittent airport and airspace closures.

STRIKES REACH SAUDI ENERGY INFRASTRUCTURE

The war is hitting Saudi hydrocarbon assets directly. Houthi missiles and drones struck the Aramco refinery at Jizan in late July and again on 9 August, when a fire was extinguished with no casualties; the group also claimed strikes on Yanbu and, on 27 July, on the Abqaiq processing complex. The attacks lift insurance, security, and business-continuity costs across Saudi energy operations, and firms with Saudi hydrocarbon exposure should treat physical-security and force-majeure risk as elevated rather than remote.

4. REGULATORY & POLICY DEVELOPMENTS

Qatar – Investment and commercial law

In early August, Qatar reaffirmed its drive for \$100bn in foreign investment by 2030 and advanced three draft laws covering bankruptcy, public-private partnerships, and commercial registration – if enacted, these would give foreign investors clearer restructuring and market-entry rules, though they remain at the drafting stage.

UAE (DIFC) – Corporate structuring

On 24 July, the DIFC opened its Prescribed Company (SPV) regime to any applicant, replacing the old eligibility criteria with a requirement to appoint a licensed corporate service provider – a cheaper, more flexible vehicle for holding, financing, and family-office structures, reinforcing DIFC's edge as a base for regional deal-making and asset structuring.

5. WHAT TO WATCH

1. The Hormuz framework and its terms

Watch mid-August for whether the Iran-Oman deal is finalised, including any Iranian parliament vote. The fee and vessel-ban clauses will decide routing, compliance, and war-risk costs for every Gulf shipper, and a conditional reopening would constrain shippers far more than a clean one.

2. Q2/H1 growth and fiscal data

Saudi (GASTAT) and Qatari second-quarter releases, due from late August into September, give the first hard data on the war's hit to growth, tourism, and hydrocarbon revenue, and a test of whether the IMF's sharp downgrades are borne out.

3. Potential U.S.-Iran talks

Indirect negotiations on compensation and a wider framework may be held in August/September. The durability of the ceasefire and any Hormuz deal depends on them, and a breakdown would reopen the escalation that shut the strait in the first place.



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